fundamentals remained extremely negative and that being long was a very bad idea. I was concerned that I might come under some pressure from my clients and colleagues to reinstate the Russian long exposure in the fund because of the market's large decline. So I wrote an internal analysis that detailed all the reasons why I thought the Russian market would still go much lower. In fact, it went down another 88 percent from that point.

The title of Taylor's paper, The Tsar Has No Clothes*—a title I obviously plagiarized for this chapter's heading—left little ambiguity as to the decisiveness of his opinion. Taylor's concluding comment was free of any qualifications and a particularly gutsy call keeping in mind that he was writing about a market that had already declined 50 percent in four months: "Russia's problems are unlikely to be tackled until a serious ruble crisis jolts them out of their complacency. This leaves significant further downside for the equity market. We must remain underweight."*

At the time I wrote the paper, there was still a perception that as a country with thousands of nuclear weapons, Russia was too big to be allowed to fail and risk anarchy. As a result, international hedge funds were very long GKOs, ruble-denominated T-bills, which were yielding 40 percent.

If short rates were 40 percent, there must have been real concern somewhere that Russia would default.

Of course there was; it was obvious. The inflation rate at the time was only about 10 percent. If you're getting paid a 30 percent real rate of return, it tells you that the country is about to go bust. The rate was so high because no one in Russia wanted to buy GKOs. The Russians knew perfectly well what was going on, and they put all their money in Switzerland. You have to look where the smart money is. In an emerging market, the smart money is domestic, not international.

Had the rate been extremely high even a year earlier?

Yes, and it had been steadily trending up.

So even as the short rate was moving up to stratospheric levels, Russian equities still went higher and then stayed at relatively high